

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (27 marks – approximately 49 minutes)

GCG Limited ("GCG") wins the good corporate governance award 2022.

The director, Teddy Lau, approached David Wong, a partner, of ABC & Co which is a reputable audit firm to replace its previous auditor, PQR & Co. PQR & Co retired in February 2023 after submitting the auditor's report for GCG's financial statements for the year ended 30 June 2022, wherein PQR & Co expressed an unmodified opinion.

David Wong believes that he can complete the audit and charge GCG for a similar audit fee by performing the audit in a cost-effective way since GCG has good corporate governance.

David Wong emphasised that cost-effective audits can be achieved by having a proper audit strategy, audit approach and adequate audit planning.

Required:

- (a) List FIVE factors that should be considered by ABC & Co for the acceptance of a new client.
(5 marks)
- (b) Hong Kong Standard on Auditing ("HKSA") 260 (Revised) *Communication with Those Charged with Governance* requires the auditor to communicate with those charged with governance. Describe the objectives of such communication.
(6 marks)
- (c) Explain how the external audit function serves as a component of corporate governance.
(5 marks)
- (d) List the benefits of adequate audit planning.
(5 marks)
- (e) List the aspects of the entity and its environment that an auditor should obtain an initial understanding when performing risk assessment procedures.
(6 marks)

Question 2 (17 marks – approximately 31 minutes)

You are the training manager of an audit firm. Your firm has recruited some staff members who are non-accounting fresh graduates. These new staff members are going to attend a training programme of your firm. You are going to prepare some learning materials for the training programme including the basic concept of external auditing, elements of an engagement letter and sampling risk in auditing.

Required:

- (a) Identify the difference between accounting and external auditing. (4 marks)
- (b) An engagement letter should specify auditors' legal liability to their clients under contract law. List the contractual elements that are typically included in an engagement letter. (6 marks)
- (c) Explain sampling risk in the case of test of controls. (3 marks)
- (d) Explain sampling risk in the case of test of details. (2 marks)
- (e) Explain non-sampling risk. (2 marks)

Question 3 (23 marks – approximately 41 minutes)

Hang Kwong Limited ("HKL") is an investment holding company. Its major activity is the investment holding of several units (less than ten) of investment properties located in Hong Kong. The properties are leased via real estate agencies to unrelated parties. The properties are financed by mortgage loans. HKL adopts the cost model for the accounting of investment properties.

Required:

- (a) List and describe the **THREE** common types of audit approaches affected by control risk and inherent risk for determining the nature, timing and extent of further tests to be performed. (6 marks)
- (b) Describe the substantive procedures for auditing the rental income. (6 marks)
- (c) Describe the substantive procedures for auditing the mortgage interest expenses. (5 marks)
- (d) Describe the substantive procedures for auditing the existence and rights and obligations of the investment properties as at year-end date. (6 marks)

Question 4 (13 marks – approximately 23 minutes)

Intelligent Limited ("IL") is engaged in the wholesale of superior dried seafood. The major customers of IL are dried seafood retail shops and Chinese food restaurants. In 2022, many restaurants closed due to the pandemic. The amount of accounts receivable written off is significant and the directors expect IL will have more accounts receivable to be written off. The accounts receivable amount after impairment loss still represents 30% of the current assets in the statement of financial position.

The auditor has gathered sufficient appropriate audit evidence and drawn the conclusion that the measurement of expected credit loss is reasonable. The auditor has suggested issuing an auditor's report with the Key Audit Matters section for explaining why the impairment assessment of accounts receivable is a key audit matter and how it is addressed in the audit.

Required:

- (a) **Define Key Audit Matters.**
(2 marks)
- (b) **Explain the purpose of including the Key Audit Matters section in the auditor's report.**
(4 marks)
- (c) **Analyse the inherent risk of accounts receivable of IL.**
(3 marks)
- (d) **Assume that the expected credit loss is considered by the auditor as materially underestimated in the financial statements, describe potential types of auditor's opinion and explain the nature of the matter giving rise to each potential types of auditor's opinion.**
(4 marks)

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